Earnings update

Vertex Q3 2026: steady CF, the kidney launch sets the price

3 November 2026 · Syz Research

> **"With the potential povetacicept approval in IgAN coming later this month, we are well positioned to establish nephrology as our fifth commercial franchise..."**
>
> Reshma Kewalramani, CEO and President, Q3 2026 results release, 2 November 2026

Vertex Pharmaceuticals makes medicines for serious diseases. Cystic fibrosis drugs bring 95% of sales; Casgevy (gene editing), Journavx (pain) and Palsonify (acromegaly) add the rest. Nasdaq-listed, worth $140bn.

Key takeaways

Beat Revenue $3.44bn, up 12% and 0.9% above consensus; Alyftrek beat by 8% as patients switch from Trikafta.

Miss Earnings per share $4.76, 1.2% short: costs up 19% with Crinetics; Journavx sales 13% below consensus.

Reaction Shares up 0.33% pre-market on 3 November: still muted, the 30 November kidney drug decision matters more.

Valuation 27.2x forward earnings, 19% above the average since 2020: approval is largely priced, launch uptake is not.

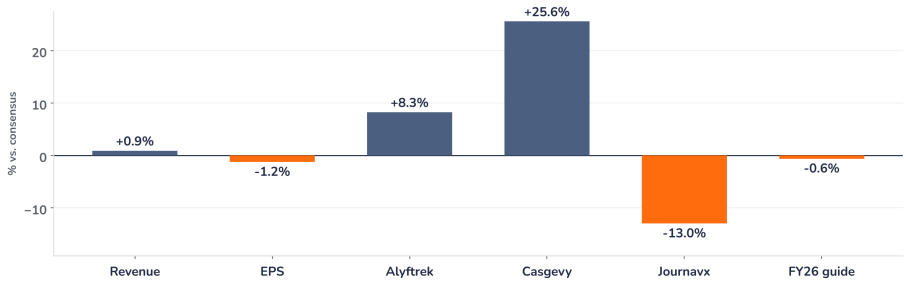
Revenue	Non-GAAP EPS	Alyftrek	FY26 revenue guide (mid)
$3.44bn	**$4.76**	**$706m**	**$13.2bn**
+0.9% vs. consensus	−1.2% vs. consensus	+8.3% vs. consensus	−0.6% vs. consensus

A mixed print, a muted move, a bigger date

Revenue of $3.44bn beat consensus by 0.9% and earnings per share of $4.76 missed by 1.2%, and the shares were flat after hours and up 0.33% pre-market on 3 November: a mixed print, a muted move. Cystic fibrosis delivered, Casgevy surprised, Journavx lagged. The 30 November decision on its kidney drug povetacicept (pove) matters more.

Chart 1 · VRTX: Q3 2026 results vs. consensus

Reported vs. consensus, % · Casgevy vs. the midpoint of $76–82m estimates · FY26 guide: revenue guidance midpoint vs. consensus of $13.28bn



Alyftrek, the once-daily successor to Trikafta, beat by 8% and Casgevy by about 26%, while Journavx fell 13% short although prescriptions rose more than 40% on the quarter. Earnings missed because operating costs rose 19%, mostly for the Crinetics acquisition and the kidney launch. The guidance midpoint sits 0.6% below consensus.

Base case and implications

The case remains constructive. We underwrite a cystic fibrosis franchise growing in mid-to-high single digits as patients move to Alyftrek, and new medicines lifting non-cystic fibrosis revenue towards 30% of sales by 2030, an analyst estimate. The catalyst is an on-time pove approval on 30 November, then kidney data in early 2027. With the shares up 17.5% since early August, approval looks largely priced: launch uptake and the 2027 guidance, due with fourth-quarter results, are the next tests.

What would strengthen our view

Pove approved on time by 30 November, with no extra monitoring; Journavx revenue catching up with prescriptions in Q4; inaxaplin interim kidney data in early 2027 supporting a US filing.

What would change our view

A delay or a restrictive pove label; Casgevy and Journavx below the ~$134m needed in Q4 for their $500m goal; Alyftrek switching slowing; 2027 costs rising above this year's $6bn.

Beyond the key takeaways

Results: Alyftrek and Casgevy did the work

Total revenue rose 12% to $3.44bn, 10% in the US and 16% outside, where currency helped. Cystic fibrosis revenue grew 7.7% to $3.27bn. Trikafta fell 8% to $2.44bn as patients switched to Alyftrek, which nearly tripled to $706m: Alyftrek is now 22.5% of the two medicines against 8.5% a year ago, and is reimbursed in 32 countries. The switch helps margins, as Alyftrek carries a lighter royalty. Casgevy reached $99m, up 30% on the quarter, with more than 100 patients starting treatment for a fourth quarter running; Journavx grew 18% to $58m and Palsonify added $10m in September, its first month.

Revenue beat by 0.9% and earnings per share missed by 1.2%, and the shares were broadly unchanged after hours on 2 November and up 0.33% pre-market on 3 November: surprise and reaction are aligned. The confirmed driver of the miss is costs, not sales. Combined non-GAAP operating expenses rose 19% to $1.53bn with Crinetics, the kidney franchise build-out and the Journavx launch, taking the operating margin to 41.0% from 45.0%, while interest on the $4.5bn term loan cut net income 2%. Journavx revenue grew less than prescriptions; analysts attribute the gap to patient assistance programmes. We think investors looked through the quarter to 30 November.

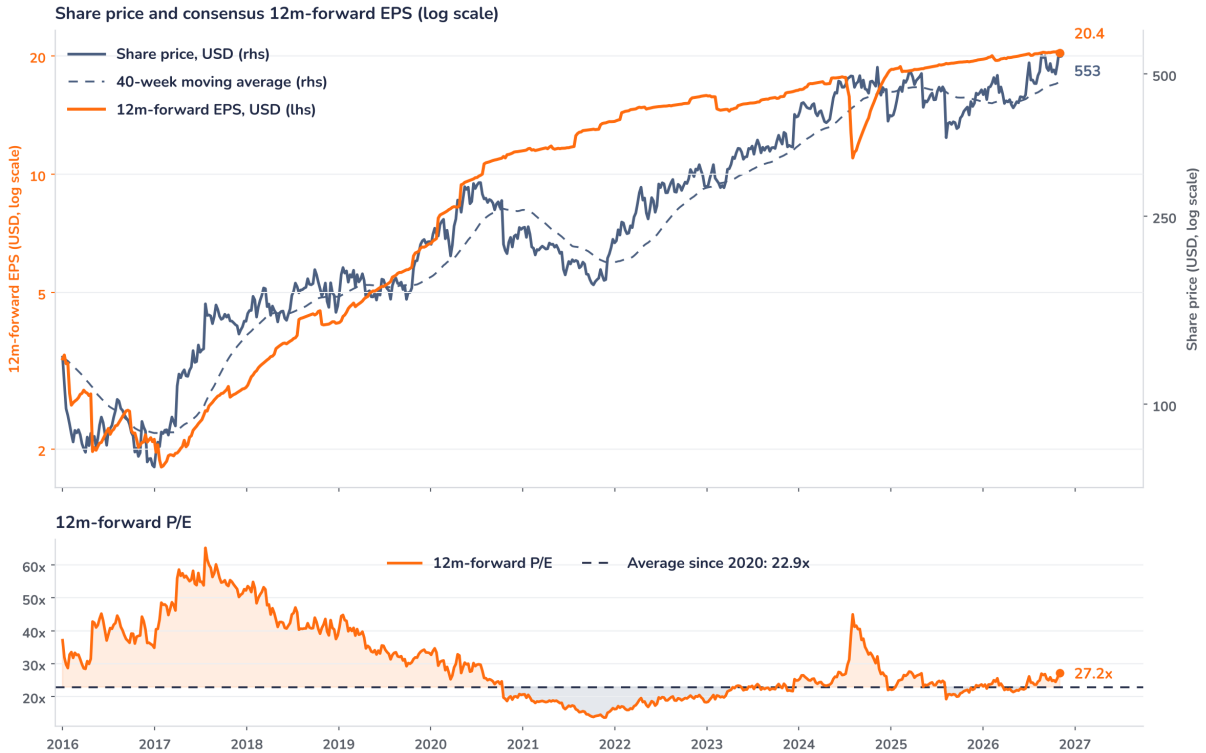
Outlook: Palsonify lifts sales and costs

Vertex raised its 2026 revenue guidance by $50m to $13.15bn to $13.25bn, matching the $40m to $50m Palsonify is expected to add after the 1 September close of the Crinetics acquisition: the guidance for the existing business is unchanged. It implies fourth-quarter revenue of $3.39bn to $3.49bn, flat on the third quarter at the midpoint. Casgevy and Journavx are still expected to reach $500m or more together; analysts estimate about $134m is needed in the fourth quarter, against $158m in the third. Operating expense guidance rises to about $6.0bn from $5.65bn to $5.75bn, all from Crinetics, where analysts expect around a fifth of costs to be saved within a year.

Valuation: a premium the launch must earn

Chart 2 · VRTX: share price vs. consensus earnings and valuation

VRTX US Equity, daily data sampled weekly, 2016 to 2 November 2026 · BEst 12m-forward consensus · 40-week simple MA · log scale · P/E shaded vs. its 2020 to 2026 average · last price is the 2 November close, before the release



The shares trade at 27.2x 12-month forward earnings, 19% above the 22.9x average since 2020, when Trikafta made Vertex a mature earner, and above the 23.8x one-year average. The rerating is recent: the price rose 29.8% over 12 months against 5.2% for consensus earnings, and 17.5% since early August against 1.5%. At $553 the stock sits 15% above its 40-week moving average, near its 52-week high. Consensus earnings slipped 0.4% on 3 November with the higher cost guidance. At an unchanged price, earnings would need to rise 19% to bring the multiple back to its average.

SYZ Source: Syz Research, Bloomberg, company filings, Vertex Q3 2026 results release of 2 November 2026, analyst research notes of 2 and 3 November 2026

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